



Advanced Financial Accounting

Advanced Financial Accounting will focus on US Governmental accounting. Explaining the main focus of governmental accounting, the different type of funds used and the different type accounting process used.

Governmental accounting US Government can levy taxes no other form of accounting has this kind of power. The source of U.S. Governmental accounting is GASB (Governmental accounting standard board) the primary user of these Financial Statement are external users citizens/ School boards/ investor/ Creditors. Internal users are not considered primary user of this information governmental financial reporting is most concerned with **Accountability** that the resource on the books are real and the Governmental is responsible for them **Interperiod** equity That the current period revenues is sufficient to pay for current year expenses.

Fund accounting Funds are what make up different segments of government they are both a fiscal entity and an accounting Entity.

There are 3 main types of funds

1. Governmental funds: these accounts for sources and balances of general governmental financial resources.
2. Proprietary funds: account for business type activity
3. Fiduciary accounts for resources held by a government as a trustee or an agent for the benefit of others

General Funds	This fund accounts for everything not required to belong to another fund. Is used as a catch all and is always considered a major fund.
Special Revenue Funds	These accounts for revenue sources that are restricted or committed to be spent for specific purpose other than debt service or capital projects.
Capital Fund Project	Funds are restricted to the construction or acquisition of capital facilities
Debt Services Funds	Funds restricted or committed for debt services principles and interest expenditures
Permanent Funds	Account for endowment for which earnings are restricted to support governmental programs dedicated for a public purpose

Proprietary Funds

Enterprise Funds	These funds are business type funds that the public buy from the government and is supported by fees. It also uses Accrual accounting method
Internal Service fund	Business type activities where other government agency buy their service like a car repair shop that only work on police cars.

Fiduciary Funds

Pension trust funds	Assets are held in trust to provide employee retirement benefits
Private Purpose trust funds	assets held in trust to benefit individuals
Investment trust fund	Accounts for the assets held in place for other government
Agency funds	Accounts for assets held in a custodial capacity

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